

when the transaction occurs. This ASU is effective for public companies, for fiscal years beginning after December 15, 2019 and interim periods within those annual reporting periods. Early adoption is permitted and is to be applied on a modified retrospective basis through a cumulative-effect adjustment to retained earnings as of the beginning of the period of adoption. We will adopt this ASU during the first quarter of 2020 and it is not expected to have a material impact on our financial statements.

ASU 2016-13 "Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments"

In June 2016, the FASB issued ASU 2016-13, *Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments*, which amends the current accounting guidance and requires the measurement of all expected losses based on historical experience, current conditions and reasonable and supportable forecasts. For trade receivables, loans, and other financial instruments, we will be required to use a forward-looking expected loss model rather than the incurred loss model for recognizing credit losses which reflects losses that are probable. The standard will become effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. Application of the amendments is through a cumulative-effect adjustment to retained earnings as of the effective date. We adopted this ASU on January 1, 2020 and we have determined that it will not have a material impact on our financial statements.

NOTE 2 – Revenue Recognition

The core principle of ASC 606 is that an entity should recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The guidance provides a five-step process to achieve that core principle:

- Identify the contract(s) with a customer
- Identify the performance obligations
- Determine the transaction price
- Allocate the transaction price
- Recognize revenue when the performance obligations are met

We recognize revenue when the performance obligations specified in our contracts have been satisfied, after considering the impact of variable consideration and other factors that may affect the transaction price. Our contracts normally contain a single performance obligation that is fulfilled on the date of delivery based on shipping terms stipulated in the contract. We usually expect payment within 30 to 90 days from the shipping date, depending on our terms with the customer. None of our contracts as of December 31, 2019 contained a significant financing component. Differences between the amount of revenue recognized and the amount invoiced, collected from, or paid to our customers are recognized as contract assets or liabilities. Contract assets will be reviewed for impairment when events or circumstances indicate that they may not be recoverable.

To the extent the transaction price includes variable consideration, we estimate the amount of variable consideration that should be included in the transaction price utilizing the most likely amount method based on an analysis of historical experience and current facts and circumstances, which requires significant judgment. Variable consideration is included in the transaction price if, in our judgment, it is probable that a significant future reversal of cumulative revenue under the contract will not occur.

Contract Assets and Liabilities

Contract assets and liabilities included in our Consolidated Balance Sheets are as follows:

	As of December 31,	
	2019	2018
Contract Assets		
Prepaid rebates included in Other current assets	\$ 64	\$ 65
Prepaid rebates included in Other assets	1,853	999
Total Contract Assets	<u>\$ 1,917</u>	<u>\$ 1,064</u>
Contract Liabilities		
Customer discounts and price concessions included in Accrued expenses and other liabilities	\$ (2,070)	\$ (1,656)
Customer rights of return included in Accrued expenses and other liabilities	(807)	(325)
Total Contract Liabilities	<u>\$ (2,877)</u>	<u>\$ (1,981)</u>

During the twelve months ended December 31, 2019, we recognized revenues of \$256 that was included in contract liabilities at the beginning of the period.

Disaggregated Revenue

The following table presents revenues disaggregated by the major markets we serve:

	Twelve Months Ended December 31,	
	2019	2018
Transportation	\$ 299,005	\$ 300,124
Industrial	78,369	86,968
Medical	41,901	40,663
Aerospace & Defense	32,569	23,323
Telecom & IT	17,155	19,405
Total	\$ 468,999	\$ 470,483

NOTE 3 — Accounts Receivable

The components of accounts receivable are as follows:

	As of December 31,	
	2019	2018
Accounts receivable, gross	\$ 78,269	\$ 79,902
Less: Allowance for doubtful accounts	(261)	(384)
Accounts receivable, net	\$ 78,008	\$ 79,518

NOTE 4 — Inventories

Inventories consist of the following:

	As of December 31,	
	2019	2018
Finished goods	\$ 9,447	\$ 10,995
Work-in-process	14,954	12,129
Raw materials	23,363	25,746
Less: Inventory reserves	(5,527)	(5,384)
Inventories, net	\$ 42,237	\$ 43,486